

MC: LVMH Moët Hennessy – Louis Vuitton SE

Growth Disconnection Alert · Premium Multiples · Severe Fundamentals Deceleration

NTM P/E	Fwd 2-Yr Rev. CAGR	Fwd 2-Yr EPS CAGR	LTM Gross Margin
20.51x	2.6%	8.4%	66.2%
Next Twelve Months	2-Year Forward Projection	2-Year Forward Projection	Sector-leading quality

WATCHLIST PLAY: THE GROWTH DISCONNECTION RISK

LVMH (MC) represents a classic quantitative trap where trailing quality metrics mask a severe forward growth deceleration. Sitting in a transitional multi-factor quadrant with a **Value Rank of 36/100** and a **Growth Rank of 28/100**, the company faces a deep fundamental slowdown. A closer look at the underlying growth drivers reveals that this low Growth Rank is not just a reflection of weak technical price momentum, but a direct consequence of stalling top-line and bottom-line fundamentals. Paying 20.51x NTM P/E for single-digit forward growth introduces a significant valuation mismatch that flags a clear warning sign for growth mandates.

Value Score	Growth Score	Fwd 2-Yr Rev. CAGR	Fwd 2-Yr EPS CAGR
36/100	28/100	2.6%	8.4%
Premium multiple persists	Stalling fundamentals	Severe top-line deceleration	Subdued earnings trajectory

1 · Deep Dive: Underlying Growth Stagnation & Valuation Risk

A granular analysis of LVMH's growth metrics confirms that the low Growth Rank is fundamentally justified, rendering the current NTM P/E multiple highly vulnerable.

- **Top-Line Stagnation:** The post-pandemic luxury super-cycle has ground to a halt. Following a painful revenue contraction of **(4.6%) YoY** in 2025, the forward outlook remains exceptionally weak — 2026 revenue growth projected at a mere **+0.2% YoY**, culminating in a highly subdued **Fwd 2-Yr Revenue CAGR of 2.6%**.
- **Negative Historical Drag & Sluggish Earnings Rebound:** Coming out of a severe earnings correction illustrated by a **Last 3-Yr EPS CAGR of (8.0%)**. Normalised EPS growth expected at an anemic **+1.6% YoY** in 2026, with the Fwd 2-Yr EPS CAGR capped at **8.4%**.
- **The Valuation Disconnection:** Trading at 20.51x NTM P/E against a Fwd 2-Yr EPS CAGR of only 8.4% yields an implied forward PEG well above 2.0x — paying a premium 20x multiple for a business growing its top line at 2.6% is a major quantitative red flag.

2 · Industry Quality Metrics: Robust but Incapable of Driving Growth

While LVMH's intrinsic financial quality and luxury moat remain elite, these structural defence mechanisms are acting as financial shock absorbers rather than engines of growth acceleration.

- **Elite Gross Margins:** LTM Gross Margin of **66.2%**, expected to hold firm at 66.50% for 2026 — confirming supreme pricing power, but unable to force a macroeconomic consumer rebound.
- **EBITDA Compression & Margin Erosion:** EBITDA forecasted to contract by **(4.2%) YoY** in 2026, dragging EBITDA margins from 31.9% to **30.5%**. EBIT margins similarly slipping to **21.7%**.

■ **Free Cash Flow Resilience:** FCF remains a structural pillar, growing **+7.9% YoY** for 2026 at a healthy **15.1% FCF margin**. LTM ROIC of 15.7% and Net Debt/EBITDA of 0.97x confirm no financial distress — but massive scale is limiting the reinvestment runway.

3 · Price Momentum Alignment

The negative technical setup directly mirrors this fundamental operational slowdown.

■ **Price Momentum Correlation:** The market has actively begun to price in this growth deceleration — resulting in a **negative 1-year price return of (1.7%)**.

■ **Trading Near the Floor:** Currently at €473.05, vastly decoupled from its 52-week high of €654.70 and dangerously close to its 52-week low of €436.55 — confirming institutional flows are rotating out due to the fundamental growth slowdown.

The Bottom Line

LVMH presents a clear fundamental warning signal. The low Growth Rank (28/100) is not a temporary technical anomaly caused by market sentiment; it is the direct mathematical result of a structural stalling in Revenue Growth (+0.2% 2026E) and Normalised EPS Growth (+1.6% 2026E). At an NTM P/E of 20.51x, the stock continues to demand a premium that its underlying single-digit forward growth trajectory simply cannot support. Until valuation multiples de-rate further or forward revenue estimates inflect back above historical averages, MC should be treated as a high-priced value trap rather than a defensive buy.

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